

Proposed ISA 240 (Revised), *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* – Explanation of Significant Changes

This paper explains the significant changes, and the rationale for these changes, that have been made by the Fraud Task Force (Fraud TF) to proposed ISA 240 (Revised)¹ since the December 2022 IAASB meeting, as reflected in the marked draft in **Agenda Item 3–A**. References to the project proposal have been included throughout this Agenda Item as in certain instances the significant changes have been made in response to proposed actions not previously discussed with the Board. The Fraud TF believes that the proposed actions provide the necessary context for the changes made to proposed ISA 240 (Revised).

1.  – This icon indicates significant changes (new or enhanced material) based on input from the Fraud TF and the IESBA² Staff and Liaison Board Member regarding the linkage between proposed ISA 240 (Revised) and the IESBA Code.³
2.  – This icon indicates significant changes (new or enhanced material) based on input from the Fraud TF and the Technology Consultation Group regarding the incorporation of technology-related application material.

Reference	Significant Changes and the Rationale for Those Changes
Introduction – Topic Previously Discussed by the IAASB (see also Agenda Item 3, Section I.A)	
<i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to the auditor's responsibilities (see key issue in paragraphs 19(a)(i)–19(a)(ii) and proposed action A.1 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 1	<i>Introductory Material</i>

¹ Proposed International Standard on Auditing (ISA) 240 (Revised), *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*

² International Ethics Standards Board for Accountants (IESBA)

³ IESBA's *International Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code)

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Reference	Significant Changes and the Rationale for Those Changes
	- The Fraud TF added the phrase “and the implications for the auditor’s report” to highlight that proposed ISA 240 (Revised) addresses both the execution of audit procedures relating to fraud as well as the reporting thereon. This layout is consistent with paragraph 1 of proposed ISA 570 (Revised 202X), <i>Going Concern</i>. - The Fraud TF added a reference to ISA 220 (Revised)⁴ and to ISA 701,⁵ to clarify that the auditor is also expanding upon these specific standards.
Paragraph 2	<i>Introductory Material</i> - The paragraph was enhanced to focus on the fraud lens when addressing the auditor’s responsibilities in the context of proposed ISA 240 (Revised). - The auditor’s responsibilities previously included in paragraph 1 have been moved to underneath the heading <i>Responsibilities of the Auditor</i>. Paragraph 1 more clearly, and succinctly reflects the scope of proposed ISA 240 (Revised).
Paragraph 6	<i>Introductory Material</i> Considering that fraud is a broad legal concept, the Fraud TF clarified that the auditor is required to perform audit procedures as it relates to fraud or suspected fraud <u>as defined by ISA 240</u>.
Paragraph 7	<i>Introductory Material</i> The Fraud TF clarified that fraud or suspected fraud may be identified during the audit when performing audit procedures in accordance with all ISAs, and not just when performing risk assessment procedures and further audit procedures in accordance with ISA 240 (e.g., the auditor may design and implement overall responses to the assessed risks of material misstatement due to fraud at the financial statement level). <i>Application Material</i>

⁴ ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

⁵ ISA 701, *Communicating Key Audit Matters in the Auditor’s Report*

Reference	Significant Changes and the Rationale for Those Changes
	- Paragraph A7: The Fraud TF enhanced the application material to highlight how risk assessment procedures may alert the auditor to the existence of a fraud risk factor. The Fraud TF removed the reference to automated tools and techniques based on feedback received. - Paragraph A8: The Fraud TF developed new application material that refers to a relevant requirement in ISA 600 (Revised)⁶ when responding to assessed risks of material misstatement due to fraud arising from the consolidation process. This application material was developed to highlight an instance where audit procedures are being performed in accordance with an “other ISA.” - Paragraph A9: The Fraud TF believes that it is important to highlight, at the outset of proposed ISA 240 (Revised), that automated tools and techniques may be used when performing work related to fraud in an audit of financial statements. - Paragraph A10: The Fraud TF believes it is important to clarify the relationship between allegations of fraud by another party and suspected fraud on the part of the auditor performing work relating to fraud in an audit of the financial statements.
Nature of the Circumstances Giving Rise to the Fraud and the Identified Misstatements – Topic Previously Discussed by the IAASB <i>Fraud Project Proposal – Key Issues and Proposed Actions (Non-Material Fraud)</i> The project proposal included proposed actions to address key issues related to non-material fraud (see key issue in paragraphs 19(f)(vii) and proposed action B.19 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 8	<i>Application Material</i> Paragraph A11(a): The Fraud TF clarified that <u>irrespective of the amount involved</u>, a fraud perpetrated by a key member of management may be considered material (e.g., a fraud perpetrated by a senior executive may be considered qualitatively material even though it is quantitatively immaterial as it goes to the overall tone at the top and the integrity of management).

⁶ ISA 600 (Revised), *Special Considerations-Audits of Group Financial Statements (Including the Work of Component Auditors)*

Reference	Significant Changes and the Rationale for Those Changes
Paragraph 6 in Agenda Item 5–C December Meeting Material	<i>Introductory Material</i> The Fraud TF deleted paragraph 6 in Agenda Item 5–C December meeting material because it believes that, just because it may be difficult to determine whether a misstatement in a judgment area is due to error or fraud, it does not absolve the auditor of the responsibility to obtain evidence as to whether it is a misstatement due to fraud.
Paragraph 12	<i>Introductory Material</i> - The Fraud TF enhanced the key concepts by: - Highlighting the importance of maintaining professional skepticism and exercising professional judgment when addressing the auditor’s responsibilities relating to fraud in an audit of financial statements and explaining the interconnectivity between professional skepticism and professional judgment. In doing so, the Fraud TF drew on the approach adopted in paragraph 7 of ISA 220 (Revised) and paragraph 9 of ISA 600 (Revised). - Referring to a relevant requirement in ISA 220 (Revised) regarding the engagement partner’s responsibility for clear, consistent and effective actions to be taken that reflect the commitment to quality, including the importance of maintaining professional skepticism throughout the audit engagement. <i>Application Material</i> - Paragraph A14: The Fraud TF developed new application material that refers to relevant guidance on professional judgment in ISQM 1,⁷ including the importance of having an inquiring mind. The Fraud TF believes that the inclusion of application material addressing the overall commitment of the firm to a system of quality management is important as it underpins and supports the engagement partner and the engagement team in making decisions that affect audit quality at the engagement level.
Non-Compliance with Laws and Regulations – Topic Previously Discussed by the IAASB	

⁷ International Standard on Quality Management (ISQM) 1, *Quality Management for Firms that Perform Audit or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

Reference	Significant Changes and the Rationale for Those Changes
<i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to the relationship / linkage between ISA 240 and ISA 250 (Revised)⁸ (see key issue in paragraph 19(e)(i) and proposed action B.11 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 13	<i>Application Material</i> Paragraph A15: The Fraud TF aligned the extant application material, and related footnote, with the “Revisions to the Code Relating to the Definition of Engagement Team and Group Audits” issued in February 2023.
Relationship with Other ISAs – Topic Previously Discussed by the IAASB <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to the relationship / linkage between ISA 240 and other ISAs (see key issue in paragraph 19(e)(ii) and proposed action B.11 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 14	<i>Introductory Material</i> The Fraud TF deleted the reference to ISA 550, <i>Related Parties</i>, so that it more broadly covers all other ISAs.
Objectives	
Paragraph 16(d)	Given the new requirements that have “Implications for the Auditor’s Report,” the Fraud TF added a new objective for the auditor “to report in accordance with this ISA.” This is consistent with the approach taken in other ISAs that encompass both performance and reporting requirements (e.g., paragraph 9 in proposed ISA 570 (Revised 202X)).
Definitions – New Topic to be Discussed with the IAASB	
<i>Fraud Project Proposal – Key Issues and Proposed Actions (Relationship of Fraud with Corruption, Bribery and Money Laundering)</i>	

⁸ ISA 250 (Revised), *Consideration of Laws and Regulations in an Audit of Financial Statements*

Reference	Significant Changes and the Rationale for Those Changes
	The project proposal included proposed actions to address key issues related to the definition of fraud (see key issue in paragraph 19(a)(iii) and proposed action A.2 in paragraph 25 of the project proposal for the revision of ISA 240). <i>Fraud Project Proposal – Key Issues and Proposed Actions (Third Party Fraud)</i> The project proposal included proposed actions to address key issues related to third party fraud (see key issue in paragraph 19(f)(viii) and proposed action B.20 in paragraph 25 of the project proposal for the revision of ISA 240).
Paragraph 17(a)	Relationship of Fraud with Corruption, Bribery and Money Laundering <i>Background</i> - Corruption, bribery, and money laundering are terms often associated with fraud but are not directly addressed in the definition of fraud in extant ISA 240. In reaching its decision, the Board concluded at the June 2021 IAASB meeting that the definition of fraud should not be expanded to include these terms considering how they have varying definitions or interpretations across jurisdictions and how introducing these terms into proposed ISA 240 (Revised) may significantly increase the scope of an audit of financial statements. <i>Application Material</i> - Paragraphs A17–A19: In line with the proposed actions in the project proposal to address key issues related to the definition of fraud, the Fraud TF developed new application material: - Clarifying how the concepts of corruption, bribery and money laundering relate to the definition of fraud. - Providing examples of how such acts may also be carried out to facilitate or conceal fraudulent activities. - Highlighting that the auditor does not make legal determinations of whether such acts have actually occurred. - Providing a linkage on how these terms are addressed in the relevant ISA(s) (i.e., ISA 250 (Revised)). Third-Party Fraud <i>Background</i> - In developing application material to determine the auditor’s action when third-party fraud or suspected fraud is identified, the Fraud TF notes that the definition of fraud includes “an intentional act by...third parties, involving

Reference	Significant Changes and the Rationale for Those Changes
	the use of deception to obtain an unjust or illegal advantage.” The Fraud TF further notes that the Board did not support expanding the role of the auditor to detect third-party fraud that is not directly related to a risk of material misstatement due to fraud in the financial statements. <i>Application Material</i> • Paragraph A20: In line with the proposed actions in the project proposal to address key issues related to third party fraud, the Fraud TF developed new application material: ○ Describing third-party fraud in the context of an audit of financial statements (i.e., fraud or suspected fraud committed against the entity by external parties). ○ Providing examples of events and conditions creating susceptibilities to third-party fraud that may cause a material misstatement in the financial statements.
Paragraph 17(b)	<i>Application Material</i> • Paragraphs A21–A22: Fraud Risk Factors ○ To improve the overall cohesiveness of the standard, the Fraud TF moved the introductory material on “Inherent Risk Factors and Fraud Risk Factors,” previously in paragraphs 8B–8C in the Agenda Item 5–C December meeting material, as application material to the definition of “Fraud Risk Factors” in paragraphs A21–A22. ○ The Fraud TF also updated paragraph A22 to align with the relevant consequential and conforming amendments arising from ISA 315 (Revised 2019)⁹ on fraud risk factors.
Requirements	
Professional Skepticism – New Topic to be Discussed with the IAASB (see also Agenda Item 3, Section I.B) <i>Fraud Project Proposal – Key Issues and Proposed Actions</i>	

⁹ ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

Reference	Significant Changes and the Rationale for Those Changes
The project proposal included proposed actions to address key issues related to professional skepticism (see key issue in paragraph 19(g)(i) and proposed action C.25 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 18	<i>Requirement</i> - The Fraud TF removed the last part of the requirement (i.e., “...notwithstanding the auditor’s past experience of the honesty and integrity of the entity’s management and those charged with governance”) as it believes that the notion of auditor’s past experience of the perceived honesty and integrity of the entity’s management is already captured in paragraph A24. Further, the Complexity, Understandability, Scalability and Proportionality (CUSP) Drafting Principles and Guidelines state that including essential material in the requirements should be avoided and unless critical to the understanding of the requirement. The Fraud TF does not believe this to be the case and has therefore deleted the sentence. <i>Application Material</i>  Paragraph A25(b): The Fraud TF recognizes the importance of the auditor being aware of unconscious bias when maintaining professional skepticism and has included application material that provides an example of how unconscious bias may affect the performance of audit procedures. In addition, the Fraud TF added a footnote to the IESBA Code to reinforce the exercise of professional judgment without being compromised by bias. - Paragraph A26: The Fraud TF developed new application material that refers to relevant guidance in ISA 220 (Revised) on possible actions that the engagement team may take to mitigate impediments to the exercise of professional skepticism. A similar approach was taken in paragraph A14 of ISA 600 (Revised).
Paragraph 19	<i>Requirement</i> The Fraud TF deleted the first sentence of paragraph 19, as it believes it dilutes the auditor’s requirement to respond when conditions indicate that a record or document may not be authentic. Further, as noted above, the CUSP Drafting Principles and Guidelines state that including essential material in the requirements should be avoided and unless critical to the understanding of the requirement. <i>Application Material</i>

Reference	Significant Changes and the Rationale for Those Changes
	- Paragraph A27: The Fraud TF developed new application material as it relates to the attribute of authenticity, and in doing so drew on application material in paragraph A56 of proposed ISA 500 (Revised), <i>Audit Evidence</i>. The Fraud TF also developed examples of conditions that may indicate a record or document is not authentic. This listing was developed in part by referencing paragraph A9–1 of ISA (UK) 240 (Revised May 2021), <i>The Auditor’s Responsibilities Relating to Fraud in an Audit of Financial Statements</i>.  Paragraph A28: The Fraud TF incorporated technology-related application material regarding the use of automated tools and techniques when considering the authenticity of a record or document.
Paragraph 15 in Agenda Item 5–C December Meeting Material	<i>Requirement</i> The Fraud TF believes that paragraph 38(a) covers / addresses paragraph 15 in Agenda Item 5–C, which expanded the requirement to investigate if responses to inquiries within the internal audit function, management, those charged with governance (TCWG), or others within the entity are inconsistent with each other, and what modifications or additions to audit procedures are necessary to understand and address the inconsistency. Consequently, paragraph 15 in Agenda Item 5–C December meeting material has been deleted.
Paragraph 20	<i>Requirement</i> - The Fraud TF added a new requirement, leveraging material from paragraph 8AB in Agenda Item 5–C December meeting material for the auditor to “remain alert throughout the audit engagement for information about fraud, suspected fraud, or alleged fraud.” This approach is consistent with similar requirements in paragraph 16 of ISA 250 (Revised), paragraph 15 of ISA 550, paragraph 15 of ISA 720 (Revised),¹⁰ and paragraph 13 of proposed ISA 570 (Revised 202X). <i>Application Material</i> - Paragraphs A29 and A30: The Fraud TF developed new application material explaining how fraud, suspected fraud or alleged fraud may be identified or otherwise come to the auditor’s attention. In addition, the application material also highlights those circumstances when it may be necessary for the auditor to have a heightened sense of awareness when performing audit procedures to address the risks of material misstatement due to fraud in the financial statements, including when performing audit procedures near the end of the audit.

¹⁰ ISA 720 (Revised), *The Auditor’s Responsibilities Relating to Other Information*

Reference	Significant Changes and the Rationale for Those Changes
	- Paragraph A30A–A30B: The Fraud TF developed application material to address circumstances or threats to relevant ethical requirements that may be encountered at, or near the end of the audit, including: - Addressing how the auditor may encounter impediments to the exercise of professional skepticism such as when the auditor is subject to time pressures imposed by management. The application material also included references to both ISA 220 (Revised) and the IESBA Code – specifically that relevant ethical requirements may contain provisions regarding the identification and evaluation of threats and how they are to be dealt with. - How the auditor may also address the threat to compliance with relevant ethical requirements, for example, the integrity principle by communicating timely with TCWG.
Paragraph 21	<i>Requirement</i> The Fraud TF added a new requirement that serves as a signpost for the additional audit procedures required in accordance with paragraphs 54–63 when fraud or suspected fraud is identified.
Engagement Resources – Topic Previously Discussed by the IAASB <i>Fraud Project Proposal – Key Issues and Proposed Actions (Specialized Skills)</i> The project proposal included proposed actions to address key issues related to the auditor’s responsibilities (i.e., calls for the auditor undertaking more forensic type procedures, or the need for forensic specialists on all, or some, audits) (see key issue in paragraphs 19(a)(iv) and proposed action A.3 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 22	<i>Background</i> Requirements (including relevant application material) addressing engagement resources, engagement performance, and the ongoing nature of communications with management and TCWG, were intentionally relocated to the earlier sections of the standard to emphasize the importance of applying them in the early stages of the audit and throughout the audit engagement. This format is consistent, and aligns with the layout of ISA 600 (Revised). <i>Application Material</i>

Reference	Significant Changes and the Rationale for Those Changes
	- Paragraph A31: The Fraud TF streamlined and updated the application material by removing duplicate examples (i.e., examples that are similar or the same as those cited in other sections of the standard), combining examples, where deemed appropriate, and adding new examples. The Fraud TF also provided more context on why specialized skills or knowledge may be needed when dealing with complexity of entity and its environment. - Previously Paragraph A12B in the Agenda Item 5–C December meeting material: The Fraud TF deleted paragraph A12B as it is, in substance, a repetition of a requirement in paragraph 26 of ISA 220 (Revised). - Paragraph A32: The Fraud TF further enhanced this application material by providing guidance on how forensic skills may assist the auditor in addressing management override of controls, or intentional management bias in financial reporting. - Paragraph A34: The Fraud TF developed new application material that refers to relevant guidance in ISA 220 (Revised) regarding the engagement partner's determination of whether additional engagement level resources are required to be assigned to the engagement team. This is intended to emphasize the iterative nature of the audit engagement and that the assigned resources may change depending on changing facts and circumstances
Engagement Performance – New Topic to be Discussed with the IAASB	
Paragraph 23	<i>Background</i> - The Fraud TF, when reviewing the extant requirements in paragraph 30(a) of ISA 240, noted that it addressed the <u>supervision</u> of “personnel taking account of the knowledge, skill and ability of the individuals to be given significant responsibilities and the auditor’s assessment of the risks of material misstatement due to fraud for the engagement.” The Fraud TF determined to align the placement of the extant requirement with the existing layout in ISA 220 (Revised) as it relates to engagement performance. In doing so, the Fraud TF made the following proposed changes: <i>Requirement</i> - The Fraud TF moved the requirement previously in paragraph 30(a) in Agenda Item 5–C December meeting material to paragraph 23. The Fraud TF expanded on paragraph 29 of ISA 220 (Revised) with a focus on how the skills, knowledge and experience of the individuals on the engagement team that are given significant responsibilities will impact the responsibility of the engagement partner to direct and supervise members of the

Reference	Significant Changes and the Rationale for Those Changes
	engagement team and review their work. The Fraud TF concurred that “ability” should be replaced with the word “experience” as this is consistent with the usage in ISA 220 (Revised). <i>Application Material</i> Paragraphs A35–A36: The Fraud TF moved relevant application material previously in paragraphs A35–A36 in Agenda Item 5–C December meeting material to paragraphs A35–A36. The Fraud TF leveraged and enhanced extant application material, including providing examples of how the engagement partner may respond to identified risks of material misstatement due to fraud such as changing the composition of the engagement team when responding to audit areas where there is a significant risk.
Paragraph 24	<i>Requirement</i> - The Fraud TF expanded on paragraph 30(b) of ISA 220 (Revised) indicating that the direction, supervision, and review of the work is dependent on the nature and circumstances of the audit engagement. The Fraud TF outlined certain matters that the engagement partner should consider when determining the nature, timing and extent of such direction, supervision and review. <i>Application Material</i> - Paragraph A37: The Fraud TF developed application material referring to the guidance in ISA 220 (Revised) that explains how the susceptibility of the financial statements to material misstatement due to fraud may warrant reevaluation of the planned approach to the nature, timing or extent of direction, supervision or review. - Paragraphs A38–A39: The Fraud TF is of the view that changes in the circumstances of the audit engagement may ultimately result in the engagement partner increasing the extent and frequency of the engagement team discussions as appropriate to cover matters not previously discussed by members of the engagement team. The Fraud TF developed application material regarding examples of events or conditions where it may be beneficial to hold additional discussions among the engagement team members at a later stage in the audit. The events or conditions may lead to the identification of additional fraud risk factors.
Ongoing Nature of Communications with Management and Those Charged with Governance – Topic Previously Discussed by the IAASB (see also Agenda Item 3, Section I.C) <i>Fraud Project Proposal – Key Issues and Proposed Actions</i>	

Reference	Significant Changes and the Rationale for Those Changes
	The project proposal included proposed actions to address key issues related to communication with TCWG (see key issue in paragraph 19(h)(i) and proposed action D.27 in paragraph 25 of the project proposal for the revision of ISA 240).
Paragraph 25	<i>Application Material</i> - Paragraph A40: To avoid long paragraphs, the Fraud TF split paragraph A40 into two parts by moving the guidance relating to the timing of communications with management and TCWG about fraud-related matters to paragraph A42. - Paragraph A41: Based on suggestions from the Board, the Fraud TF developed new application material on the extent (frequency) of communications with management and TCWG about fraud-related matters. - Paragraph A42: The Fraud TF streamlined the related examples in paragraph A42 that were duplications of requirements in paragraphs 31(d)(ii) and 31(d)(iii), or were already addressed in application material elsewhere in the standard. Specifically: - The requirements in paragraphs 31(d)(ii) and 31(d)(iii) already cover views of TCWG on possible areas susceptible to misstatement due to management bias, or whether they are aware of control deficiencies related to the prevention or detection of fraud, respectively. - Application material in paragraphs A66–A68 already provides guidance on oversight exercised by TCWG. - Application material in paragraphs A70–A73 already includes guidance on obtaining views of TCWG about the entity's approach to fraud risk management and the entity's fraud risks.  Paragraph A44: To enhance the linkages between proposed ISA 240 (Revised) and the IESBA Code, the Fraud TF developed application material that addresses the importance of relevant ethical requirements when “Assigning Appropriate Member(s) within the Engagement Team When Communicating with Management and Those Charged with Governance” especially when considering the content and the manner in which the communications are to be conducted.
	Risk Assessment Procedures and Related Activities – Topic Previously Discussed by the IAASB (see also Agenda Item 3, Section I.D) <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to identifying and assessing the risks of material misstatement due

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	to fraud (see key issue in paragraph 19(b)(i) and proposed action B.4 in paragraph 25 of the project proposal for the revision of ISA 240).
Paragraph 28	<i>Requirement</i> • To reflect the actual nature of the procedure, the Fraud TF moved the requirement relating to the “Retrospective Review of the Outcome of Previous Accounting Estimates” as a risk assessment procedure in paragraph 28. This was previously presented as part of the “Responses to the Assessed Risks of Material Misstatement Due to Fraud” in paragraph 33(b)(ii) in Agenda Item 5–C December meeting material. • The Fraud TF also anchored this requirement back to the original requirement in paragraph 14 of ISA 540 (Revised)¹¹ to show that it is meant to be performed alongside the relevant requirement in ISA 540 (Revised). In doing so, the Fraud TF further aligned the text in paragraph 28 in proposed ISA 240 (Revised) to paragraph 14 of ISA 540 (Revised). <i>Application Material</i> • After moving these paragraphs as application material for the requirement in paragraph 28, the Fraud TF subsequently deleted them for the following reasons: ○ Previously Paragraph A47 in Agenda Item 5–C December meeting material: The first sentence of the application material that explains the purpose of a retrospective review is already captured in the last bullet point in paragraph A55 of ISA 540 (Revised) (i.e., “... the auditor may obtain information regarding the susceptibility of the accounting estimates to, or that may be an indicator of, possible management bias”). In addition, the last sentence of the application material was repeating the last sentence in paragraph 14 of ISA 540 (Revised), which states that “the review is not intended to call into question judgments about previous period accounting estimates that were appropriate based on the information available at the time they were made.” ○ Previously Paragraph A48 in Agenda Item 5–C December meeting material: Given that the requirements for a retrospective review in both proposed ISA 240 (Revised) and ISA 540 (Revised) are now both categorized as risk assessment procedures, this application material was no longer needed and therefore, was deleted.

¹¹ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

Reference	Significant Changes and the Rationale for Those Changes
<i>Engagement Team Discussion – New Topic to be Discussed with the IAASB</i> <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to the engagement team discussion (see key issue in paragraph 19(b)(ii) and proposed action B.5 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 29	<i>Requirement</i> - In order to enhance the robustness of the engagement team discussion, the Fraud TF is requiring the discussion to include the following specific topics (a) an exchange of ideas about fraud risk factors, (b) a consideration of any fraud that has occurred at the entity during the current or prior years and the resulting effect on the entity's financial statements, and (c) a consideration of any allegations of fraud that have come to the attention of the engagement team. <i>Application material</i> - Paragraphs A49–A49A and A50–A52: The Fraud TF enhanced the application material by: - Explaining why it is important to have a timely, robust and open two-way engagement team discussion among the engagement team members, including highlighting why it is important to involve individuals who have specialized skills or knowledge (i.e., it may elevate the quality of the discussion taking place) (see paragraphs A49–A49A); - Explaining approaches that may be used to facilitate the exchange of ideas (e.g., use of “what-if” scenarios, and the use of automated tools and techniques) (see paragraph A50); - Providing examples of specific topics that may be part of the exchange of ideas (see paragraph A51); and - Clarifying that although the emphasis should be on how and where the entity's financial statements may be susceptible to material misstatement due to fraud, including how fraud may occur, there may also be an opportunity during the engagement team discussion to discuss other engagement related matters (see paragraph A52). - Paragraph A49B: This application material explains that when the involvement of an individual with specialized skills in the engagement team discussion is limited to consultation, such an individual may not be an engagement

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	team member. The paragraph further signposts that ISA 220 (Revised) explains that consultation outside the engagement team on a difficult or continuous matter may be an indicator of a key audit matter. •  Paragraph A50 (last bullet point): The Fraud TF incorporated technology-related application material on the use of automated tools and techniques to support the discussion about the susceptibility of the entity's financial statements to material misstatement due to fraud.
Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control – Topic Previously Discussed by the IAASB (see also Agenda Item 3, Section I.D) <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to identifying and assessing the risks of material misstatement due to fraud (see key issue in paragraph 19(b)(i) and proposed action B.4 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 30	<i>Application Material</i> • Paragraph A53 (Previously Paragraph A23Da in Agenda Item 5–C December meeting material): The Fraud TF deleted this paragraph as this guidance paragraph has essentially been superseded by the enhancements made to proposed ISA 240 (Revised) with respect to obtaining an understanding of the entity and its environment, the applicable financial reporting framework, and the entity's system of internal control. •  Paragraph A55: The Fraud TF incorporated technology-related application material by adding an example on how newly implemented technologies by the entity may increase the opportunity to commit fraud. • Paragraphs A57–A58: The Fraud TF enhanced the application material on fraud risk factors associated with an entity operating in an environment (i.e., geographical location) or an industry that may be susceptible to corruption, bribery and money laundering. •  Paragraph A59: The Fraud TF incorporated technology-related application material on the use of automated tools and techniques to analyze information or data related to understanding performance measures. The Fraud TF also deleted the last sentence of this paragraph as it is repeating what is included in the first two sentences of this paragraph. • Paragraph A60: The Fraud TF deleted the last sentence for consistency with the presentation of other examples

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	“attached” to this requirement.
Paragraph 31	<i>Requirement</i> - The Fraud TF deleted the phrase “when those charged with governance are separate from management” in the beginning of both paragraphs 31(b) and 31(d). The Fraud TF is of the view that this qualifier is not needed as the auditor should obtain the understanding regardless whether TCWG are separate from management. <i>Application Material</i> - Paragraph A65: The Fraud TF included the hanging sentence in the first bullet as both matters relate to obtaining an understanding of the whistleblower program. The Fraud TF also added an additional procedure the auditor may perform (investigate whistleblower files).
Paragraph 32	<i>Requirement</i> - The Fraud TF deleted an element of the proposed requirement previously in paragraph 32(b)(iii) to make inquiries of management and other appropriate individuals about the <u>entity’s process to prevent and detect fraud</u> as it is already addressed in the requirement in paragraph 32(a) when obtaining an understanding about the entity’s risk assessment process. <i>Application Material</i> - Paragraph A75: The Fraud TF streamlined the introduction to this paragraph. - Paragraph A80: The Fraud TF incorporated technology-related application material by adding examples. - Paragraph A83: The Fraud TF developed application material to address scalability by providing guidance that even when there are no formalized processes or documented policies or procedures, the auditor is still required to obtain an understanding of entity’s risk assessment process.
Paragraph 33	<i>Application Material</i> Paragraph A26A: To improve the overall cohesiveness of the standard, the Fraud TF moved the application material previously in paragraph A26A to paragraph A94.

Reference	Significant Changes and the Rationale for Those Changes
Paragraph 34	<i>Requirement</i> - The Fraud TF added a new requirement explaining the fraud specific matters the auditor should obtain an understanding of in relation to the information system and communication component of the system of internal control. Previously, the Fraud TF concluded that there are no specific fraud-related considerations but based on further discussions, the Fraud TF was of the view that there is a special consideration that relates to obtaining an understanding how journal entries are initiated, processed and corrected. <i>Application Material</i> - The Task Force added application material to support the new requirement, including a link to Appendix 4 (paragraph A91) and included technology related application material (paragraph A92).  Paragraph A92: The Fraud TF incorporated technology-related application material by adding an example on use of artificial intelligence or machine learning algorithms to calculate and initiate accounting entries. The Fraud TF also added an example where management uses different model than in the industry. The example is based on an example in ISA 540 (Revised).
Paragraph 35	<i>Requirement</i> - The Fraud TF deleted the last part of the requirement (i.e., ...including controls over journal entries authorized by management and non-standard journal entries) as the original requirement in paragraph 26(a)(ii) of ISA 315 (Revised 2019) already covers “...including non-standard journal entries used to record non-recurring, unusual transactions or adjustments.” <i>Application Material</i> - Paragraph A93: To enhance the linkages between proposed ISA 240 (Revised) and ISA 315 (Revised 2019), the Fraud TF developed application material that highlights that the auditor should obtain understanding over controls over journal entries as part of understanding the entity’s system of internal control and that this understanding addresses both fraud and error. The application material is based on guidance included in the ISA 315 (Revised) First-Time Implementation Guide. The application material also explains how the general requirement in ISA 315 (Revised 2019) interacts with relevant requirements in proposed ISA 240 (Revised). - Paragraph A94: See the explanation for the significant change in paragraph A26A above.

Reference	Significant Changes and the Rationale for Those Changes
Identifying and Assessing the Risks of Material Misstatement due to Fraud – Topic Previously Discussed by the IAASB (see also Agenda Item 3, Section I.D) <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to identifying and assessing the risks of material misstatement due to fraud (see key issue in paragraph 19(b)(i) and proposed action B.4 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 37	<i>Requirement</i> - The Fraud TF changed the term “information” to “audit evidence” to align with the terminology used in ISA 315 (Revised 2019). <i>Application Material</i> - Paragraph A28A in Agenda Item 5–C December meeting material: The Fraud TF deleted this application material because it was duplicating examples of fraud risk factors already cited in other sections of the standard.
Paragraphs 38–39	<i>Requirement</i> - To improve the overall cohesiveness of the standard, the Fraud TF added a new subheading on “Evaluating the Audit Evidence Obtained from the Risk Assessment Procedures” and moved relevant requirements regarding: “Inconsistent Responses” previously in paragraph 28B in Agenda Item 5–C December meeting material to paragraph 38, which is now signposted as a requirement relating to “<u>Inquiries of Management and Inconsistent Responses</u>.” The change in heading was made to align with those risk assessment procedures identified in paragraph 14(a) of ISA 315 (Revised 2019). “Unusual or Unexpected Relationships Identified” previously in paragraph 27A in Agenda Item 5–C December meeting material to paragraph 39, which is now signposted as a requirement relating to “<u>Analytical Procedures Performed and Unusual or Unexpected Relationships Identified</u>.” The change in heading was made to align with those risk assessment procedures identified in paragraph 14(b) of ISA 315 (Revised 2019). <i>Application Material</i>

Reference	Significant Changes and the Rationale for Those Changes
	Paragraph A100: The Fraud TF developed application material on examples of fluctuations or relationships when performing analytical procedures in accordance with ISA 315 (Revised 2019) that are inconsistent with other relevant information or that differ from expected values significantly.
Paragraph 40	<i>Application Material</i> - Previously paragraphs A28H and A28M in Agenda Item 5–C December meeting material: The Fraud TF deleted the application material in paragraphs A28H and A28M because it was repeating relevant requirements addressing significant risks in paragraphs 26(a)(i) and 26(d) of ISA 315 (Revised 2019) and paragraphs 15 and 21 of ISA 330,¹² respectively. The Fraud TF believes that repeating such requirements was not needed for the purpose of understanding the requirement in paragraph 40 of proposed ISA 240 (Revised).¹³ - Paragraph A103: To align with the changes to the introductory material in paragraph 7, the Fraud TF deleted the first sentence of paragraph A103, as it was deemed repetitive. Paragraph 7 explains that “fraud or suspected fraud may be identified during the audit when performing audit procedures in accordance with this and other ISAs.” - Previously paragraph A28K in Agenda Item 5–C December meeting material: The Fraud TF deleted this application material as paragraph 21 now requires the auditor to perform additional audit procedures whenever fraud or suspected fraud is identified.
Presumption of the Risks of Material Misstatement Due to Fraud in Revenue Recognition – Topic Previously Discussed by the IAASB <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to the presumption of fraud risk in revenue recognition (see key issue in paragraphs 19(f)(ii)–19(f)(iii) and proposed action B.15 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 41	<i>Requirement</i>

¹² ISA 330, *The Auditor's Responses to Assessed Risks*

¹³ While considering whether there is a need to repeat the requirement of another ISA for purpose of understandability, the Fraud TF notes that the reader is a competent auditor, whose training, knowledge and experience have assisted in developing the necessary competencies and who has the necessary level of familiarity with all the other ISAs included in the IAASB Handbook.

Reference	Significant Changes and the Rationale for Those Changes
	- Based on comments from the Board, the Fraud TF clarified that it is only when the auditor identifies fraud risk factors related to revenue recognition as part of the evaluation in paragraph 37, that the auditor is required to take into account such fraud risk factors in making the determination required in paragraph 41. <i>Application Material</i> - Previously paragraph A29A in Agenda Item 5–C December meeting material: Based on comments from the Board, the Fraud TF deleted this paragraph, which highlights that the risks of material misstatement due to fraud (fraud risk) in revenue recognition can also exist in simple types of revenue. While the statement is nevertheless true, it is counterintuitive. It also has a circular effect when considered together with paragraph A110, which provides guidance that the auditor may rebut the presumption of fraud risk in revenue recognition when the revenue recognition is simple, straightforward and non-complex. - Paragraph A109: In response to comments from the Board about the use of qualifiers that may create ambiguity in the application material as to whether they form part of the requirement, the Fraud TF opted to keep the qualifier “ordinarily” in paragraph A109 as it is intended to send a strong message that the presumption of fraud risk in revenue recognition may not be easily overcome when fraud risk factors related to revenue recognition are present. The Fraud TF further clarified that determining whether the presence of fraud risk factors related to revenue recognition may indicate a fraud risk is a matter of professional judgment and their significance, individually or in combination, ordinarily makes it inappropriate to rebut the presumption of fraud risk in revenue recognition.
Significant Risk Related to Management Override of Controls – New Topic to be Discussed with the IAASB	
Paragraph 42	<i>Requirement</i> To reflect the nature of the requirement, the Fraud TF moved the last sentence previously in paragraph 32 in Agenda Item 5–C December meeting material to paragraph 42 as part of “Identifying and Assessing the Risks of Material Misstatement Due to Fraud.” This was previously presented as part of the “Responses to the Assessed Risks of Material Misstatement Due to Fraud” in paragraph 32 in the Agenda Item 5–C December meeting material. The Fraud TF clarified that the risk of management override of controls cannot be overcome. Hence, it will always be a risk of material misstatement due to fraud and therefore, a significant risk.

Reference	Significant Changes and the Rationale for Those Changes
	- The Fraud TF placed the requirement relating to “Significant Risk Related to Management Override of Controls” at the end of section for “Identifying and Assessing the Risks of Material Misstatement Due to Fraud,” which follows the placement of the requirements relating to “Audit Procedures Responsive to Risks Related to Management Override of Controls” at the end of the section for “Responses to the Assessed Risks of Material Misstatement Due to Fraud.” <i>Application Material</i> - Paragraph A112: The Fraud TF moved essential material (previously the first two sentences of paragraph 32 in the Agenda Item 5–C December meeting material) as application material in paragraph A112.
Responses to the Assessed Risks of Material Misstatement Due to Fraud	
Paragraph 43	<i>Requirement</i> The Fraud TF added a new requirement (with an appropriate subheading) for “Designing and Performing Audit Procedures in a Manner That Is Not Biased” towards obtaining audit evidence that may be corroborative or towards excluding audit evidence that may be contradictory. This aligns with the approach followed in the Exposure Draft – Proposed ISA 570 (Revised 202X), <i>Going Concern</i> paragraph 18.
<i>Unpredictability in the Selection of Audit Procedures – New Topic to be Discussed with the IAASB</i> <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to the unpredictability of audit procedures (see key issue in paragraph 19(f)(vi) and proposed action B.18 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 44	<i>Requirement</i> The Fraud TF moved the requirements previously in paragraph 30(c) in Agenda Item 5–C December meeting material to paragraph 44. Extant ISA 240, paragraph 30(c) required implementing an element of unpredictability when determining overall responses to address the assessed risks of material misstatement due to fraud at the financial statement level. The Fraud TF believes that implementing an element of unpredictability is applicable both when determining overall responses and when performing audit procedures responsive to the assessed risks of material misstatement due to fraud at the assertion level. Accordingly, this requirement has been

Reference	Significant Changes and the Rationale for Those Changes
	positioned at the outset of the section “Responses to the Assessed Risks of Material Misstatement Due to Fraud.”. <i>Application Material</i> - Paragraphs A113–A114: The Fraud TF moved relevant application material previously in paragraph A37 in Agenda Item 5–C December meeting material to paragraphs A113–A114. The Fraud TF retained the extant introduction in paragraph A113, which explains why it is important to implement an element of unpredictability. The Fraud TF included material to explain that incorporating unpredictability in the audit procedures might be a response to mitigate the effect of conformation bias and emphasized the importance of maintaining an open mind when selecting audit procedures to perform. - The Fraud TF moved, updated and expanded the examples in paragraph A114, including an example using technology, on how to implement an element of unpredictability. The Fraud TF also enhanced the linkage to ISA 330 which addresses circumstances when the selection of unpredictable audit procedures may be useful e.g., when the risks of intentional misstatement or manipulation have been identified. - Paragraph A114: The Fraud TF incorporated technology-related application material by adding an example of using automated tools and techniques when incorporating an element of unpredictability in the selection of audit procedures. - Paragraph A115 refers to Appendix 2 of the ISA as a source for possible audit procedures to choose from when introducing an element of unpredictability in the nature, timing and extent of audit procedures.
Paragraph 45	<i>Application Material</i> - Paragraphs A33A–A33B in Agenda Item 5–C December meeting material: The Fraud TF deleted this application material as paragraph 21 now requires the auditor to perform additional audit procedures whenever fraud or suspected fraud is identified. - Paragraph A116: The Fraud TF incorporated technology-related application material by adding an example of using direct extraction methods or technologies when obtaining data for use in automated tools and techniques to address the risk of data manipulation.
External Confirmation Procedures – New Topic to be Discussed with the IAASB	

Reference	Significant Changes and the Rationale for Those Changes
<i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to external party confirmations (see key issue in paragraph 19(f)(x) and proposed action B.22 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 47	<i>Application Material</i> •  Paragraphs A117 and A119A: The Fraud TF incorporated technology-related application material by adding examples of using automated tools and techniques when performing audit procedures responsive to the assessed risks of material misstatement due to fraud at the assertion level. • Paragraphs A120–A124: The Fraud TF added application material related to fraud considerations for external confirmation procedures and to emphasize the usefulness of external confirmations as an audit procedure when there is a heightened risk of fraud.
Paragraph 48	<i>Requirement</i> • To improve the overall flow of the requirements, the Fraud TF moved the requirement previously in paragraph 34 in Agenda Item 5–C December meeting material to paragraph 48. • The Fraud TF clarified that irrespective of the auditor’s assessment of the risks of management override of controls, the auditor is required to design and perform audit procedures addressing journal entries, accounting estimates and significant transactions in accordance with paragraphs 49–53, and determine whether other audit procedures are needed in addition to those required in paragraphs 49–53, in order to respond to the identified risks of management override of controls.
Paragraphs 49–53	<i>Requirement</i> • To avoid including multiple requirements in one paragraph relating to different subject matters, the Fraud TF split previously paragraph 33 of the Agenda Item 5–C December meeting material into three distinct parts and added appropriate subheadings: ○ Paragraphs 49–50 for requirements relating to “Journal Entries and Other Adjustments.” ○ Paragraphs 51–52 for requirements relating to “Accounting Estimates.”

Reference	Significant Changes and the Rationale for Those Changes
	Paragraph 53 for the requirement relating to “Significant Transactions Outside the Normal Course of Business or Otherwise Appear Unusual.”
Journal Entries and Other Adjustments – Topic Previously Discussed by the IAASB <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to journal entries (see key issue in paragraph 19(f)(i) and proposed action B.14 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraphs 49–50	<i>Requirement</i> - Paragraph 50(b): The Fraud TF clarified that the requirement to obtain audit evidence about the completeness of journal entries includes <u>all</u> journal entries and other adjustments <u>made in the preparation of the financial statements throughout the period</u>. Testing the attribute of completeness as it relates to the population of journal entries and other adjustments made in the preparation of the financial statements is deemed to be a necessary circumstance because it comprises information generated internally from the entity’s information system and is used in performing further audit procedures. - Paragraph 50(d): The Fraud TF strengthened the work effort requirement from a “consideration” to a “determination” of the need to test journal entries throughout the period. <i>Application Material</i> - Paragraphs A126–A127: To avoid long paragraphs, the Fraud TF split the application material previously in paragraph A42 in Agenda Item 5–C December meeting material into two separate paragraphs (i.e., paragraphs A126–A127). - Paragraph A129: The Fraud TF developed additional application material on designing audit procedures to test the appropriateness of journal entries and other adjustments that links to the relevant requirements when planning the audit in ISA 300.¹⁴

¹⁴ ISA 300, *Planning an Audit of Financial Statements*

Reference	Significant Changes and the Rationale for Those Changes
	- Paragraphs A132–A133: The Fraud TF developed new application material on obtaining audit evidence about the completeness of the population of all journal entries and other adjustments. - Paragraph A134: The Fraud TF enhanced the application material by providing examples of how the auditor's understanding of the entity and its environment, the applicable financial reporting framework, and the entity's system of internal control may help the auditor select journal entries and other adjustments for testing. - Paragraph A135: To improve and streamline the overall application material on testing journal entries and other adjustments, the Fraud TF moved to Appendix 4 the application material relating to additional considerations when selecting journal entries and other adjustments for testing. Appendix 4 was also further enhanced.  Paragraphs A137–A138: The Fraud TF enhanced the application material by providing examples of journal entries and other adjustments made at the end of the reporting period and throughout the period that may be tested in accordance with the requirements in paragraphs 50(c) and 50(d), respectively. The Fraud TF incorporated technology-related application material in paragraph A138 by adding example on using automated tools and techniques to detect anomalies or outliers in the journal entry data throughout the period. - Paragraph A139: The Fraud TF developed new application material providing guidance when examining the underlying support for journal entries and other adjustments selected for testing.
Accounting Estimates – New Topic to be Discussed with the IAASB <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to the responses to the assessed risks of material misstatement (see key issue in paragraph 19(c)(i) and proposed action B.7, second bullet, in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraphs 51–52	<i>Requirement</i> - Paragraph 51: The Fraud TF clarified that the auditor is focused on management bias and not biases more broadly. - Paragraph 52: The Fraud TF moved the requirement on retrospective review from previous paragraph 33(b)(ii) in Agenda Item 5–C December meeting material to paragraph 28 as a risk assessment procedure. Nevertheless, the Fraud TF was of the view that considering the information obtained from such a retrospective review better informs the auditor in reviewing the accounting estimates for management bias in the current period. Therefore,

Reference	Significant Changes and the Rationale for Those Changes
	a new requirement to this effect was added in paragraph 52(a). The Fraud TF also added the reference to the relevant application material on “Indicators of possible management bias” in paragraphs A143–A145 to the requirement in paragraph 52(b). <i>Application Material</i> - Paragraphs A142–A143: The Fraud TF added application material that explains why the requirement to review accounting estimates for management bias in paragraph 51 is performed. These paragraphs refer to the relevant guidance on management bias provided in ISA 315 (Revised 2019) and ISA 540 (Revised), respectively. The Fraud TF also provided examples of indicators of possible management bias in paragraph A143.  Paragraph A144: The Fraud TF incorporated technology-related application material on the use of automated tools and techniques to review accounting estimates for management bias. - Paragraph A145: The Fraud TF developed new application material providing guidance for considering the involvement of individuals with forensic skills when there are strong indicators of possible management bias that may be intentional. - Previously paragraphs A47–A48 in Agenda Item 5–C December meeting material: As a result of moving the requirement on retrospective review (previously in paragraph 33(b)(ii) in Agenda Item 5–C December meeting material to paragraph 28) as a risk assessment procedure, the Fraud TF moved the related application material. The Fraud TF subsequently deleted the application material as it was no longer needed, as explained above (see paragraph 28).
Paragraph 53	<i>Application Material</i>  Paragraph A147: The Fraud TF incorporated technology-related application material on the use of automated tools and techniques to identify significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual.
Fraud or Suspected Fraud – Topic Previously Discussed by the IAASB (see also Agenda Item 3, Section I.E) <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to when fraud is identified or suspected (see key issue in paragraph	

Reference	Significant Changes and the Rationale for Those Changes
19(f)(v) and proposed action B.17 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 54	See also Agenda Item 3, paragraphs 44–45 for additional information. <i>Requirement</i> • The Fraud TF is of the view that once fraud or suspected fraud is identified then the engagement partner has certain responsibilities to fulfill <u>before</u> continuing with the audit engagement. These responsibilities include obtaining a deep understanding of the fraud or suspected fraud and communicating or reporting as required by proposed ISA 240 (Revised). • The Fraud TF believes that this responsibility resides with the engagement partner (and not the “auditor”) as this strengthens the response given the matter being addressed i.e., fraud or suspected fraud. <i>Application Material</i> • Paragraph A148: The Fraud TF acknowledges that once fraud or suspected fraud is identified that there is likely a “pencils down approach” – the nature, and extent of that approach will likely be driven by the firm’s policies or procedures. •  Paragraph 149: The Fraud TF added application material to highlight the importance of the engagement partner reminding the engagement team members as to their responsibilities with respect to relevant ethical requirements when they become aware of instances of noncompliance with laws or regulations by the entity i.e., when fraud or suspected fraud is identified. • Paragraphs A150–A153: The Fraud TF developed application material, with examples, that underpins why the understanding is needed and how to obtain it. It is intended that the information obtained from the understanding may provide the engagement partner with audit evidence about whether, for example, the fraud or suspected fraud affects the financial statements. The guidance is intended to allow for scalability as outlined in the following paragraphs: ○ Paragraph A150: When obtaining the understanding the engagement partner may take one or more actions e.g., involve an auditor’s expert, or request the entity to develop a robust plan. ○ Paragraph A151: The extent of the understanding may be limited if the matter is inconsequential, or more extensive if the matter is pervasive and involves management.

Reference	Significant Changes and the Rationale for Those Changes
	- Paragraph A154: The Fraud TF developed application material to highlight that when performing the required communications, the engagement partner may obtain additional information that further informs the understanding. - Paragraph A155: The Fraud TF discussed that in certain exceptional circumstances the auditor may be unable to continue the audit engagement, however the Fraud TF believes that since this option is likely not the preferred outcome of the audit engagement, this paragraph has been placed at the end of the application material paragraphs for this section.
Paragraphs 57–63	- The flowchart presented to the Board in December 2022 was used in developing the requirements and related application material for the Fraud or Suspected Fraud section. See Agenda Item 3, paragraph 45–46 for additional information. <i>Application Material</i> - Paragraph A157: The Fraud TF, while not proposing any amendments to ISA 265,¹⁵ believes that there should be a “strong steer” for the auditor to report control deficiencies related to the prevention or detection of fraud to TCWG. Accordingly, the Fraud TF has clearly emphasized the relevant paragraphs in ISA 265 that provide guidance as to what may constitute a significant deficiency as it pertains to fraud-related matters. - Paragraph A157A: Application material was developed to highlight those considerations that may be relevant when assessing whether the remediation measures taken by management or TCWG are appropriate. This assessment will also likely inform the auditor’s view and understanding of the entity’s control environment (see Agenda Item 3–A paragraph 31(d)(iii))
Evaluation of the Sufficiency and Appropriateness of Audit Evidence	
<i>Considering a Stand-back Requirement in Proposed ISA 240 (Revised) to Evaluate Audit Evidence Obtained – New Topic to be Discussed with the IAASB</i> <i>Fraud Project Proposal – Key Issues and Proposed Actions</i>	

¹⁵ ISA 265, *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management*

Reference	Significant Changes and the Rationale for Those Changes
	The project proposal included proposed actions to address key issues related to the responses to the assessed risks of material misstatement (see key issue in paragraph 19(c)(i) and proposed action B.7, first bullet, in paragraph 25 of the project proposal for the revision of ISA 240).
No specific paragraph reference	<i>Background</i> • To strengthen the auditor’s responses to the assessed risks of material misstatement due to fraud, the project proposal includes the consideration of a separate stand-back requirement in proposed ISA 240 (Revised) to evaluate audit evidence obtained from audit procedures performed addressing the assessed risks of material misstatement due to fraud. Input obtained during the information gathering stage of the project suggested <u>considering</u> a separate stand-back requirement in proposed ISA 240 (Revised) (i.e., similar to the approach taken in ISA 540 (Revised),¹⁶ or anchoring it to the stand-back requirements in ISA 330¹⁷ and ISA 315 (Revised 2019)¹⁸). • The Fraud TF is of the view that an additional stand-back requirement in proposed ISA 240 (Revised) may not be needed considering that the existing stand back requirements and guidance in other ISAs (i.e., ISA 220 (Revised),¹⁹ ISA 315 (Revised 2019),²⁰ ISA 330,²¹ and ISA 540 (Revised)²²) also apply to audit evidence obtained from audit procedures performed in accordance with proposed ISA 240 (Revised). • The Fraud TF believes that the new overarching requirement in paragraph 20 for the auditor to remain alert throughout the audit engagement for information about fraud (together with the relevant application material in paragraphs A29–A30B) provides a robust response to the assessed risks of material misstatement due to fraud, particularly when performing audit procedures near the end of the audit when time pressures may exist.
	Analytical Procedures Performed Near the End of the Audit in Forming an Overall Conclusion – New Topic to be Discussed with the IAASB

¹⁶ ISA 540 (Revised), paragraphs 33–35

¹⁷ ISA 330, paragraphs 25–27

¹⁸ ISA 315 (Revised 2019), paragraph 35

¹⁹ ISA 220 (Revised), paragraphs 32 and A90–A94

²⁰ ISA 315 (Revised 2019), paragraphs 35 and A230–A232

²¹ ISA 330, paragraphs 25–27 and A60–A62

²² ISA 540 (Revised), paragraphs 33–35, A12–A13 and A137–A144

Reference	Significant Changes and the Rationale for Those Changes
<i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to analytical procedures (see key issue in paragraph 19(f)(iv) and proposed action B.16 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 64	<i>Requirement</i> - The Fraud TF changed the work effort from “evaluate” to “determine.” Following the CUSP Drafting Guidelines and Principles, if the preparation of the relevant information or analysis is the responsibility of the auditor (as in the case for “Analytical Procedures Performed Near the End of the Audit in Forming an Overall Conclusion”) the ISAs generally describe the work effort as “shall determine.” <i>Application Material</i> - Paragraph A165: The Fraud TF enhanced this application material by: - Leveraging guidance in ISA 520 explaining that analytical procedures performed near the end of the audit are intended to corroborate conclusions formed during the audit of individual components or elements of the financial statements. It further explains that performing these procedures on a more granular level for certain higher risk areas may help to determine trends or relationships that may be indicative of a previously unidentified risk of material misstatement due to fraud. - Adding new examples of unusual relationships involving year-end revenue and income. - Paragraph A166: The Fraud TF incorporated technology-related application material on the use of automated tools and techniques to identify unusual or inconsistent transaction posting patterns.
Auditor Unable to Continue the Audit Engagement	
Paragraph 65	<i>Application Material</i> Paragraphs A167 (last bullet point): To enhance the linkages between proposed ISA 240 (Revised) and the IESBA Code, the Fraud TF added an ethics-related example of exceptional circumstances that may arise and that may bring into question the auditor’s ability to continue performing the audit.
Implications for the Auditor’s Report – Topic Previously Discussed by the IAASB (see also Agenda Item 3, Section I.F)	

Reference	Significant Changes and the Rationale for Those Changes
<i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to transparency in the auditor’s report on fraud (see key issue in paragraph 19(h)(ii) and proposed action D.27 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 66	<i>Requirement</i> - See Agenda Item 3, paragraphs 53–54 on clarifying the linkages with ISA 701. <i>Application Material</i> - The Fraud Task Force developed new application material supporting paragraph 66. This application material is based on ISA 701 (and adapted as necessary) or developed by the Fraud TF. Specifically, the Fraud TF: - Added application material to encourage the auditor to communicate fraud related KAMs. See Agenda Item 3 paragraphs 55–56. - Highlighted that the auditor may communicate matters other than revenue recognition and management override of controls as fraud related KAMs (see paragraph A177).
Paragraph 67	<i>Requirement and Application Material</i> The Fraud TF made changes to paragraph 67 to align it more closely to paragraph 10 of ISA 701. The Fraud TF also revised the application material to better underpin the new requirement.
Paragraph 68	<i>Requirement</i> - The Fraud TF moved the requirement previously in paragraph 39A in Agenda Item 5–C December meeting material to paragraph 68 to align with the layout of ISA 701 (i.e., in ISA 701 the requirements for “Communicating Key Audit Matters” are placed after the requirements for “Determining Key Audit Matters”). The Fraud TF also added the phrase “in applying ISA 701” at the beginning of the requirement to mean that paragraph 68 of proposed ISA 240 (Revised) is meant to be applied in addition to paragraph 11 of ISA 701. <i>Application Material</i> - The Fraud Task Force developed new application material supporting paragraph 68.

Reference	Significant Changes and the Rationale for Those Changes
Paragraph 39C in Agenda Item 5–C December Meeting Material	<i>Requirement</i> The Fraud TF deleted paragraph 39C in Agenda Item 5–C December meeting material as it was in substance repeating the original requirement in paragraph 13 of ISA 701 and did not include a fraud specific consideration.
Paragraph 39D in Agenda Item 5–C December Meeting Material	<i>Requirement and Application Material</i> - The Fraud TF deleted the requirement and related application material in line with the Board’s view that proposed ISA 240 (Revised) should not include a requirement to communicate in the auditor’s report identified significant deficiencies in internal control that are relevant to the prevention and detection of fraud. - Also see paragraphs 60 and 61 of Agenda Item 3.
Paragraph 39E in Agenda Item 5–C December Meeting Material	<i>Requirement</i> The Fraud TF deleted paragraph 39E in Agenda Item 5–C December meeting material as it was in substance repeating the original requirement in paragraph 14 of ISA 701 and did not include a fraud specific consideration.
Paragraph 69	<i>Requirement</i> - The Fraud TF added the phrase “in applying ISA 701” at the beginning of the requirement to mean that paragraph 69 of proposed ISA 240 (Revised) is meant to be applied in addition to the original requirement in paragraph 16 of ISA 701. In addition, the Fraud TF updated the reference to the section, based on its latest thinking. <i>Application Material</i> - Paragraph A184: The Fraud TF further enhanced this application material by adding that the requirement in paragraph 66 may also apply when the only matters determined to be fraud related KAMs are those communicated in accordance with paragraph 15 of ISA 701. - Paragraph A185: The Fraud TF further aligned the requirement with ISA 701, paragraph A58.

Reference	Significant Changes and the Rationale for Those Changes
	- Paragraph A187: The Fraud TF added application material based on paragraphs A52–A54 of ISA 701. The Fraud TF believes that the circumstances described in those paragraphs are also applicable when there is a fraud related KAM that is not communicated in the auditor's report.  Paragraph A187A: The Fraud TF added application material based on paragraphs A55 of ISA 701 to enhance the linkages between proposed ISA 240 (Revised) and the IESBA Code. The Fraud TF also added a new ethics-related footnote on the duty of confidentiality.
Written Representations – New Topic to be Discussed with the IAASB <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to written representations from management (see key issues in paragraph 19(c)(ii) and proposed action B.8 in paragraph 25 of the project proposal for the revision of ISA 240)	
Paragraph 70	<i>Requirement</i> - The Fraud TF enhanced the requirement in paragraph 70(a) by adding an affirmation that management <u>have appropriately fulfilled</u> their responsibility for the design, implementation and maintenance of internal control to prevent and detect fraud. - While management acknowledges their responsibility for the design, implementation, and maintenance of internal controls to prevent and detect fraud, management do not positively affirm that they have fulfilled their responsibilities. The Fraud TF believes management should make such an assertion, especially given management has primary responsibility for the prevention and detection of fraud. <i>Application Material</i> - Paragraph A188: Certain respondents to the Discussion Paper noted that the auditor was perceived to be inappropriately relying on written representations provided by management addressing fraud in the entity. As a result, the Fraud TF enhanced the application material to explain that written representations alone do not provide sufficient appropriate audit evidence. Further, since management is in a unique position to perpetrate fraud, the auditor considers all audit evidence in drawing the conclusion required in accordance with ISA 330.

Reference	Significant Changes and the Rationale for Those Changes
	- Paragraph A189: The Fraud TF added application material, referring to relevant requirements in ISA 580, to highlight how the auditor may respond where the auditor has doubts about the reliability of written representations. - Previous paragraph A60 in Agenda Item 5–C December meeting material: The Fraud TF deleted this application material as such information would be gathered as part of the auditor's understanding of the entity's risk assessment process.
Communications with Management and Those Charged with Governance – New Topic to be Discussed with the IAASB	
Paragraphs 71–73	<i>Requirements</i> - The Fraud TF added the appropriate subheadings to the requirements in paragraphs 71–72 (i.e., those already used within the relevant application material in paragraphs A191–A192). - The Fraud TF aligned the use of the terms “fraud or suspected fraud” in paragraphs 71–72. With respect to paragraph 71, the Fraud TF noted that the phrase “information that indicates that a fraud may exist” is used only once within the ISAs. It is only used in paragraph 41 of extant ISA 240. The Fraud TF also noted that the supporting application material in paragraph A191 provides context that the phrase is referring to “suspected fraud.” Accordingly, the Fraud TF replaced the phrase “information that indicates that a fraud may exist” with the term “suspected fraud.” - In line with the CUSP Drafting Principles and Guidelines, the Fraud TF reflected the use of the active voice instead of the passive voice in paragraphs in paragraphs 71–72. - Paragraph 73 was clarified to indicate that it was the responsibilities of TCWG that were being referenced.
Reporting to an Appropriate Authority Outside the Entity – New Topic to be Discussed with the IAASB	
Paragraph 74	<i>Heading and Requirement</i> The Fraud TF changed the subheading of the requirement from “Communications to Regulatory and Enforcement Authority Outside the Entity” to “Reporting to an Appropriate Authority Outside the Entity” to align

Reference	Significant Changes and the Rationale for Those Changes
	more closely with the text of the requirement in paragraph 74(a). This also aligns with the subheading of a similar requirement in paragraph 40 of proposed ISA 570 (Revised 202X). <i>Application Material</i> - Paragraph A196: The Fraud TF developed application material clarifying that such reporting may be to “applicable regulatory, enforcement, supervisory or other appropriate authority outside the entity.”  Paragraph A197: To enhance the linkages between proposed ISA 240 (Revised) and the IESBA Code, the Fraud TF added a new ethics-related footnote on disclosing or using confidential information where there is a legal or professional duty or right to do so, at the end of paragraph A197. This is consistent with a similar footnote inserted in proposed ISA 570 (Revised 202X) (updated for revisions to the IESBA Code released in April 2023). - Paragraph A198: The Fraud TF developed application material leveraging relevant guidance in paragraph A92 of proposed ISA 570 (Revised 202X) regarding factors the auditor may consider in determining whether it is appropriate to report a matter to an appropriate authority outside the entity.
Documentation – New Topic to be Discussed with the IAASB (See also Agenda Item 3, Section I.G) <i>Fraud Project Proposal – Key Issues and Proposed Actions</i> The project proposal included proposed actions to address key issues related to audit documentation (see key issue in paragraph 19(f)(ix) and proposed action B.21 in paragraph 25 of the project proposal for the revision of ISA 240).	
Paragraph 75	<i>Requirement</i> - In developing these proposals, the Fraud TF built on the foundational standard on audit documentation in ISA 230, as well as expanded on the documentation requirements in ISA 315 (Revised 2019) on risk assessment, and in ISA 330 on responses to the assessed risks. - Paragraph 75(a): The Fraud TF enhanced the requirement to document "the discussion among the engagement team regarding the susceptibility of the entity's financial statements to material misstatement due to fraud, the significant decisions reached, <u>and the fraud risk factors identified.</u>" - Paragraph 75(b): The Fraud added a new requirement to, among other matters, document key elements of the auditor's understanding in accordance with paragraphs 30–34.

Reference	Significant Changes and the Rationale for Those Changes
	○ Paragraph 75(c): The Fraud TF enhanced requirement to document “the evaluation of the design of controls over journal entries <u>that prevent or detect fraud, and determination whether such controls have been implemented, in accordance with the requirement in paragraph 35.</u>” ○ Paragraph 75(d): The Fraud TF enhanced requirement to document “the significant risks due to fraud at the financial statement level and at the assertion level, <u>and the rationale for the significant judgments made.</u>” ○ Paragraph 75(e): The Fraud TF retained the extant requirement to document “if the auditor has concluded that the presumption that a risk of material misstatement due to fraud related to revenue recognition is not applicable in the circumstances of the engagement, the reasons for that conclusion.” ○ Paragraph 75(f): The Fraud TF enhanced the requirement to document <u>the significant professional judgments made, and the conclusions reached as it relates to the risk of management override of controls.</u>” ○ Paragraph 75(g): The Fraud TF added a new requirement to document matters related to fraud or suspected fraud. ○ Paragraph 75(h): The Fraud TF enhanced the requirement addressing the communication and reporting of fraud-related matters to include <u>how management, and where applicable, TCWG have responded to the matters.</u> <i>Application Material</i> ● Paragraph A201: The Fraud TF developed application material leveraging relevant requirement and guidance in paragraphs 11 and A15 of ISA 230 dealing with the documentation of inconsistencies with the auditor’s final conclusion regarding a significant matter.
Appendices	

Reference	Significant Changes and the Rationale for Those Changes
Appendix 1	In line with the proposed actions in the project proposal²³ to update the fraud risk factors currently included in Appendix 1 to ISA 240, the Fraud TF updated Appendix 1 to reflect additional fraud risk factors identified from the Fraud TF's discussion of recent publications²⁴ on matters relating to fraud.
Appendix 2	- This appendix has been enhanced to include some new or more current examples of audit procedures that may be performed, including some examples that make use of technology (i.e., automated tools and techniques).  The Fraud TF incorporated technology-related application material on using automated tools and techniques to identify numbers that have been used frequently as there may be an unconscious bias by management or employees when posting fraudulent journal entries or other adjustments to use the same number repetitively.
Appendix 3	The Fraud TF enhanced the appendix by adding some additional examples of circumstances that may be indicative of fraud.
Appendix 4	- See the explanation provided for the significant changes in paragraph 49 (Journal Entries and Other Adjustments) and the related application material paragraph A135.  The Fraud TF incorporated technology-related guidance on the use of recent information, such as data on actual perpetrated frauds or reports regarding trends in occupational fraud, to inform the auditor as to characteristics of fraudulent journal entries.
Appendix 5	In line with the proposed action in the project proposal²⁵ to address key issues related to the relationship between and the linkage of ISA 240 with respect to other ISAs, the Fraud TF developed Appendix 5 that lists other ISAs with specific requirements that refer to fraud or suspected fraud.
Conforming and Consequential Amendments (see Agenda Item 3-C)	

²³ See key issue in paragraph 19(b)(i) and proposed action B.4 in paragraph 25 of the project proposal for the revision of ISA 240.

²⁴ These include publications published by Accountancy Europe, the Association of Certified Fraud Examiners (ACFE), the Dutch Authority for the Financial Markets (AFM), the Canadian Public Accountability Board (CPAB), the International Ethics Standards Board for Accountants (IESBA), the South African Independent Regulatory Board for Auditors (IRBA), and the U.S. Public Company Accounting Oversight Board (PCAOB).

²⁵ See key issue in paragraph 19(e)(ii) and proposed action B.11 in paragraph 25 of the project proposal for the revision of ISA 240.

Reference	Significant Changes and the Rationale for Those Changes
ISA 700, paragraph 40	- The project proposal included a proposed action to “explore what changes may be needed to better describe the auditor’s responsibilities and procedures related to fraud in an audit of financial statements, ...” The Fraud TF enhanced the transparency about the auditor’s responsibilities by amending: - Paragraphs 40(a) of ISA 700 (Revised) to include the auditor’s responsibilities to communicate (to TCWG) Identified fraud, suspected fraud or other fraud-related matters that are, in the auditor’s judgment, relevant to the responsibilities of TCWG; and - Paragraph 40(c) of ISA 700 (Revised) to reflect the new auditor’s responsibilities with respect to fraud related key audit matters. The Fraud TF included the changes to paragraphs 40(a) and 40(c) in the illustrative auditor’s reports in ISA 700 (Revised).
ISA 701, general	The Fraud TF updated the reference to the title of the KAM section. When there is a direct reference to the title of the KAM section, the name: “Key Audit Matters Including Matters Related to Fraud” is used. Otherwise, the Fraud TF kept the references to “Key Audit Matter section.” The Fraud TF was of the view that always using the long form would add unnecessary words. The Fraud TF added a footnote to paragraph 11 clarifying this.
ISA 701, paragraph A8A	This section explains the relationship between KAMs and other ISAs that include reporting requirements such as ISA 700 (Revised), ISA 705 (Revised) and ISA 706 (Revised). Therefore, the Fraud TF was of the view that it is appropriate to include a paragraph that explains the relationship between ISA 701 and proposed ISA 240 (Revised).
ISA 701, paragraph A18A	The Fraud TF added a paragraph explaining that proposed ISA 240 (Revised) provides a strong steer that fraud related matters are KAMs by referring to paragraphs A174 and A179 of proposed ISA 240 (Revised).
ISA 701, paragraph A21	See Agenda Item 3, paragraph 59.
ISA 701, paragraph A55	To align with proposed ISA 240 (Revised), the Task Force added a footnote on the duty of confidentiality. Also see A187A of proposed ISA 240 (Revised).

Reference	Significant Changes and the Rationale for Those Changes
ISA 701, paragraph A59B	• The Fraud TF added a paragraph linking ISA 701 with proposed ISA 240 (Revised) and to refer the auditor to proposed ISA 240 (Revised) for the appropriate presentation in the auditor's report when there are no key audit matters related to fraud.